

1.1.5. ASSESSING COMPETITIVENESS

INTERPRETATION OF FINANCIAL ACCOUNTS

Financial Statements

- A statement of financial position (balance sheet) which shows the assets, liabilities and capital of the business.
- A statement of comprehensive income (profit and loss account), which starts with the profit or loss for the year and then shows other items of comprehensive income, such as gains made on currency transactions.

Statement of comprehensive income (profit and loss account)

- This is part of the legal documents that forms the accounts which must be published each year by ltd or plc company
- This document shows if the business has made a profit or a loss during the year
- *This used to be called the **profit and loss account**, so if you are googling this vocab for revision or looking in an old text book, you may need to know that.*

Key Information:

Revenue

Revenue is money into the business through ordinary trading. It is also known as turnover or income.

Formula for sales revenue is $Q \times P$

Where Q = quantity and P = price

Gross profit

Gross profit – this shows the managers of the business the profit figure from trading before all the expenses have been taken off

The cost of sales is the cost of the stock that is to be sold as part of ordinary trading for the business

$GP = \text{Sales Revenue} - \text{cost of sales}$

Expenses

Expenses are costs to the business that have nothing to do with stock or the making of the product

Examples are;

- Administration
- Advertising
- Petrol

Operating profit

Operating profit is a true measure of how much profit (or loss) the business has made over the year – before tax is deducted

Operating profit is used by potential investors of the business to see how hard their money would work if it was invested into the business

Operating profit = GP - expenses

Sales	Sales revenue or sales turnover is the money made by the business in normal trading, this is only recorded when goods are delivered to customers
Cost of sales	Cost of sales, or cost of goods is the direct costs to make the goods that have been sold; raw materials , wages, labour
Gross profit	Gross profit = SR - COS
Admin expenses	Expenses are costs not involved in producing the goods; advertising, promotion, wages of admin staff
Operating profit	OP = GP – expenses
Add Interest received	Interest received form any retained profits kept in a bank or investments made
Profit before tax	This used to be called net profit
Taxation	Corporation tax paid to the government
Profit after tax	How much the business can keep, retained profit to reinvest next year

STAKEHOLDER INTEREST

- **Shareholders** – want to know the final profit figure which dividends will be paid out on
- **Investors** – want to know the profitability of the business – is it worth investing or will it be a risk?
- **Employees and managers** – may wish to know the expenses of the business
- **Suppliers:** Before a supplier accepts an order from a new customer on trade credit, it is sensible to check their creditworthiness (i.e. their ability to pay for what they have bought on credit).
- **The government:** The tax authorities collect taxes on behalf of the government and require all business owners to provide documentary evidence of the profits or losses made by the business every year. Also, government statistics agencies may have an interest in business accounts because they collect economic data for public use.

Edexcel like to mix the profit and loss and balance sheet information to suit the question – so don't expect to see it neatly divided sometimes they mix it up – but not always!

Statement of financial position (balance sheet)

- This is the other document that needs to be published as part of the annual business accounts. This document used to be called the balance sheet – for googling purposes.
- This document shows what the business owns and owes on one day of the year.
- It is often described as a snapshot of the business.
- $A = L + C$
- Where **assets** = **liabilities** plus **capital**
- In other words - What did the money in the business get spent on?
- The two sides must balance – hence the term balance sheet

Key information on a balance sheet

Current assets

- Current assets are items that the business owns that will pay the business in under 1 year. Three things fall into this category:
- **Stock** (inventory) because it will be sold and turned into cash within 1 year
- **Debtors** – those that owe the business money, such as customers who will pay within 1 year
- **Cash** - already is cash

Non-current assets (fixed assets)

- Fixed assets are items that a business owns but that will pay the business back after 1 year
- Examples;
 - Machinery e.g. plant equipment
 - Vehicles e.g. company van
 - Property e.g. factory, warehouse that is owned by the business

Current liabilities

- These are items that the business owes, that need to be paid by the business, within 1 year
- Example;
 - Trade payables, this means payments that need to be paid to suppliers

Long-term liabilities

- These are items that the business needs to pay, but that is not due for total payment within one year
- Example;
 - Loan e.g. 10 year loan with monthly payments

- Retirement provision e.g. pension fund monthly payments

ASSETS = CAPITAL + LIABILITIES

Fixed assets	An item that the business owns that it intends to use for more than one year in trading e.g. van, machine
Current assets	Items in the business which it intends to turn into cash within a year, include stock, debtors, cash
Stock	Stock includes work in progress and finished goods not yet delivered to customers
Debtors and Prepayments	Debtors owe the business and will pay within a year, a prepayment may be on a bill that has to be paid in advance of the year it is used
Creditors	Creditors are suppliers to the business that money is owed to
Capital reserves and share capital	Share capital, amount of money paid by shareholders for shares when originally issued, not the current value of shares Capital reserves are the increase of some fixed assets, for example land may be worth more now than it was purchased for years ago, that value must go somewhere
Share premium account	Difference between nominal (original) value of the share and the issued value

Stakeholder interest

- **Governments** will use the financial information to calculate the amount of tax (VAT and corporation tax) that a company has to pay
- **Shareholders** will analyse the accounts and decide whether their investment capital is being used effectively
- **Directors** and senior managers will use the accounts to assist their medium and long-term planning
- **Potential investors** will analyse the accounts to determine whether or not the company would make a good investment
- **Creditors** will use the accounts to ascertain the company's ability to pay their bills

RATIO ANALYSIS

Statement of financial position

	Ratio name		Ratio formula	
Non-current assets				
+ Current assets	Current ratio	Acid test ratio (liquid capital ratio)	<u>Current assets</u>	<u>Current assets - Inventory</u>
- Current liabilities			Current liabilities	Current liabilities
- Non-current liabilities				
= Net assets			Non-current liabilities + Total equity = Capital employed	
Share capital	Gearing ratio		<u>Non-current liabilities</u> x 100% Capital employed	
Retained profit				
= Total equity				

Calculations and interpretation

Current Ratio formula

$$\frac{\text{Current Assets}}{\text{Current Liabilities}}$$

- Current Assets and Current Liabilities are both found on the statement of financial position (balance sheet)
- The answer should be expressed as a ratio to 1, so for example 3:1
- This is also known as the working capital ratio
- The ideal is around 1.5:1 and 2:1
- Below 1.5:1 the business might not have enough working capital to cover all their bills
- They may be over borrowing or over trading and will have cash flow problems
- Above 2:1 and the money in the business is tied up and not being used efficiently

Acid test ratio formula

$$\frac{\text{Current Assets} - \text{Inventory}}{\text{Current Liabilities}}$$

- Inventory is also known as stock and will be found on the statement of financial position (balance sheet)
- This is also expressed as a ratio to 1 e.g. 4:1
- The acid test ratio is also known as the quick ratio and is the most commonly used ratio to judge the financial health of a business
- Stock is excluded because it may perish or be obsolete or not worth the stated value
- A result of less than 1:1 means that the current assets do not meet their current liabilities and they will struggle to pay their bills

Gearing ratio formula

$$\frac{\text{Non-current Liabilities}}{\text{Capital Employed}} \times 100$$

- Non-current liabilities are also known as long-term liabilities and are found with capital employed on the statement of financial position (balance sheet)
- The answer should be expressed as a percentage %
- The gearing ratio looks at the long-term finance of the business and where it comes from
- A result of over 50% means the business is highly geared, most of the money comes from loans, this is very risky for a potential investor
- A result of less than 50% means the business is low geared and most of the money comes from the owners, a better risk for an investment

ROCE ratio formula

$$\frac{\text{Operating Profit}}{\text{Capital Employed}} \times 100$$

- ROCE means return on capital employed
- Operating profit figure comes from the **statement of comprehensive income** (profit and loss)
- Capital employed figure comes from the **statement of financial position** (balance sheet) it can be found by adding **non-current liabilities** and **total equity** figures together
- X100 means the answer must be expressed as a percentage with a % sign
- Return on Capital employed is a measure of the profitability of the business
- If you were considering investing in a business you might calculate the ROCE % and then compare this against a bank savings plan (less risky) of 5%
- The higher the ROCE figure the better
- Demonstrates how hard the business made the money invested work

PROFITABILITY RATIOS

Profitability or performance ratios help to show how well a business is doing. They may be used by senior managers, the finance department and investors to help assess the performance of the business. They might be used to make comparisons with previous time periods or other businesses, for example. **Gross profit margin:** The gross profit margin shows the gross profit made on sales turnover/revenue. It is calculated using the formula:

$$\text{Gross profit} = \frac{\text{GROSS PROFIT}}{\text{REVENUE}} \times 100$$

- Higher gross margins are preferable to lower ones because it means that more gross profit is being made per £1 of sales.
- The gross profit margin will vary between different industries.
- The quicker the turnover of inventory, the lower the gross margin that is needed.
- Gross profit margins may be used by businesses to help make decisions. For example, if gross margins are below the industry average, action might be needed.

Profit for the year (net profit) margin: The profit for the year (net profit) margin or net profit margin takes into account all business costs, including finance costs, other non-operating costs and exceptional items. It is also usually calculated before tax has been subtracted.. The profit for the year (net profit) margin can be calculated by:

$$\text{NET PROFIT MARGIN} = \frac{\text{NET PROFIT BEFORE TAX}}{\text{REVENUE}} \times 100$$

- Higher margins are better than lower ones.
- The profit for the year (net profit) margin focuses on the 'bottom line' in business. The bottom line refers to the very last line in the statement of comprehensive income.
- It shows the profit that is left after all deductions have been made, i.e. the final amount of profit left over for the owners.

LIMITATIONS OF RATIO ANALYSIS

- The balance sheet is just a snapshot of the business on one day, if the ratios are based on this figure, then it's a ratio of just one day in the business and as markets are dynamic figures could change
- The ratios are only as good as the information provided in the balance sheet and the profit and loss
- The ratios need comparison like a pair of shoes you need two to be comfortable. For example 45% on its own means nothing but a rise from 45% to 87% means something
- Ratios must be seen in an industry context. In some supermarkets the current ratio is very low as the stock is sold so fast, so a low current ratio or acid ratio would not be a worry
- Keep in context – were poor ratios in a time of world recession e.g. 2008?
- During a recession, for example, it may be useful to compare the business performance with a competitor

HUMAN RESOURCES

Labour productivity

- Productivity is the output per worker in a time period
- For example in a car garage we could measure the number of faults fixed by each mechanic in a day
- In a restaurant we could measure productivity by the number of customers or tables served by a waiting staff

Labour productivity is defined as output per worker over a given period of time. The formula is:

Labour productivity =

$$\frac{\text{Total Output}}{\text{Number of Workers}}$$

- Productivity is an indicator (measure) of efficiency
- Example: if 50 workers produce 10,000 items a day then daily productivity = $10,000/50 = 200$ items
- Productivity is output per worker and it measures the efficiency of the workforce
- A business will seek to increase productivity to reduce the average cost per unit to produce
- Labour productivity can be improved through; kaizen, Total Quality Management (TQM) and lean production and the introduction of new machinery or robots where appropriate

Businesses can become less competitive despite increasing labour productivity. This occurs due to:

- rival businesses increasing their productivity at an even faster rate
- new rival businesses setting up and paying lower wages
- other factors, such as rivals releasing a better new product

Labour Turnover

Labour turnover measures the rate at which employees leave the business in a 1 year period

A high rate of labour turnover would be bad for business, it means that staff are so unhappy they don't stay in the business and they leave. The business then has all the costs of recruiting and training another member of staff

Number of Employees Leaving

$\times 100$

Average Number of Employees

- Number of staff leaving a business in a year compared to the total number of staff who work there
- Example: if 12 staff leave a business employing 200 the labour turnover = $12/200 \times 100 = 6\%$
- This is a measure of performance
- Some industries may naturally have a high turnover so context is important e.g. retail and catering
- Turnover should be measured against historical figures in the business
- High labour turnover may be due to poor recruitment, weak induction, lack of challenge in the job and low pay rates
- If this figure is rising year on year management should see this as a red flag and investigate it

High labour turnover is caused by a number of factors:

- low pay leading to higher labour turnover as workers leave for better paid jobs
- having few training and promotion opportunities encourages workers to leave their current jobs
- poor working conditions, low job satisfaction, bullying and harassment etc.
- some businesses are poor at selecting and recruiting the right candidates for positions
- there may be an economic boom currently, with greater job vacancies due to labour shortages, causing labour turnover to rise

Disadvantages of high labour turnover:

- recruiting new staff is costly
- it takes time for new staff to become familiar with their roles & business operations
- larger companies put on induction programmes to welcome employees, which adds to costs
- if the post is filled from within the business, training may be required for the worker

Advantages of high labour turnover:

- new staff can bring fresh ideas and experience
- some workers may be ineffective in their current job and need to be encouraged to leave

- if a business is shrinking in size, reducing the size of the workforce leads to higher labour turnover
- when a business pays low wages or conditions are poor, it may be more profitable to have a constant turnover of staff rather than raise wages or improve conditions

Labour retention

Labour retention is the rate at which employees stay in the business. the formula is:

$$\text{Labour retention} = \frac{\text{NO.OF STAFF STAYING}}{\text{AVERAGE NO.OF STAFF IN POST}} \times 100$$

Benefits of high retention rate:

- lower recruitment and selection costs
- more continuity
- stable workforce

Absenteeism

The habitual non-presence of an **employee** at his or her job.

Possible causes of **absenteeism** include job dissatisfaction, ongoing personal issues and medical problems. Regardless of cause, a worker with a pattern of being absent may put their reputation at risk, and may lose their job.

$$\frac{\text{Number of work days lost through absence}}{\text{Total possible days worked}} \times 100$$

- The results of absenteeism calculations can show if there is low staff morale or job satisfaction
- This can be caused by; poor management, stress at work through role overload or under load, lack of recognition or poor working conditions
- Some absenteeism is natural as staff retire or move on to new challenges but too much and it could cost the business in terms of lost orders and poor customer relations
- Absenteeism can be improved through job enlargement, job rotation, incentive schemes etc.

Problems of absenteeism:

- business may have to pay sick pay

- if temporary staff are brought in, there will be an increase in costs, & permanent staff will have to work overtime, leading to higher pay rates and higher costs
- output will suffer if workers are expected to cover for sick colleagues or temporary staff are not as productive
- continued absences could hinder a particular area of work or new project if the worker is a key worker
- customers may be lost if production is delayed or if there are quality problems
- absenteeism can demotivate the staff who are left to deal with the problems
- the higher the rate of absenteeism, the greater the development of absenteeism culture in the workplace

Causes of differences in rates of absenteeism:

- smaller businesses have lower rates of absenteeism than larger businesses as there is much more commitment and teamwork
- businesses with good health and safety procedures will have less illness related absenteeism
- the nature of the tasks given to workers, as repetitive tasks can lead to lower job satisfaction and demotivation
- the culture of a workplace, such as a stressful workplace causes absenteeism to rise
- stress related illnesses due to being over supervised
- workers who feel they are not paid enough are more likely to take time off work

Limitations of labour productivity calculations

1. Labour productivity
 - the method used may not be effective as it is difficult to measure output of workers accurately
 - calculating labour productivity is limited in highly automated businesses employing large quantities of plant and machinery
 - it ignores the quality of the work, as it prioritises quantity over quality, which could have a negative impact on sales
2. Labour turnover and retention
 - labour turnover for businesses with a greater number of part time workers will be distorted, as part time workers only stay in the business temporarily
 - employment of temporary or seasonal staff also distorts labour turnover
3. Absenteeism rate

- in small businesses, even if a single worker becomes ill in the long term, it will raise the absenteeism rate
- employer's policy or culture has an effect on official absenteeism rates

Reasons to raise productivity & reduce turnover

- if productivity rises, so will output per employee, resulting in a greater total output thus raising revenue and profits
- if staff turnover can be reduced, money can be saved on recruitment, selection and training which helps to cut costs and increase profit

HUMAN RESOURCE STRATEGIES

Ways to reduce absenteeism

- introducing more flexible working practices
- ensuring that jobs are interesting and challenging
- improving working conditions and thus reducing dissatisfaction
- improving relations between employers and employees
- introducing attendance bonuses as an incentive to attend regularly

Financial rewards

- To motivate staff so that they will turn up for work and work harder - is sometimes possible to do through financial rewards. For example depending on the business context some of the following may be suitable;
 - Commission – sales jobs e.g. car sales
 - Overtime on a weekly wage
 - Bonus on a salaried wage
 - Piece rate – paid by results e.g. per garment knitted
 - Fees – one off payment for work completed, for example editing a book

Employee share ownership

- Shared ownership can also bring a say in who runs the company. On major issues it can be a powerful reason for employees to focus on business improvement.
- However, employee share ownership never means employees taking over business management. This continues to be the directors' job

Consultation strategies

- Employees are motivated by being consulted (asked for their opinion) on matters relating to work by managers

- This can reduce absenteeism and labour turnover as it involves the employee in a discussion on; pay, conditions and work matters
- Employees are less likely to be frustrated and leave the business if they feel that they have a valid influence on management decisions

Empowerment strategies

- Empowerment means giving employees the authority to make decisions. This shows recognition of an employees abilities and trustworthiness, and will boost their self confidence and motivate them hopefully reducing absenteeism and raising productivity
- Criticism of this method is that it may be an excuse to cost cut, delayer and make managers redundant. Also that employees being empowered is a smoke screen for more work on the same pay.